



Commercial Lease Due Diligence Checklist

For acquisitions, portfolio reviews, and lease-up

Section 1 - Rent Roll Verification

- ☐ Confirm all tenants on the rent roll have executed leases on file
- ☐ Verify current in-place rent against each lease's current rent schedule
- ☐ Identify any side letters, concessions, or informal arrangements not in the lease
- ☐ Confirm all rent abatements, free rent periods, and their remaining duration
- ☐ Flag tenants paying below-market rent and assess economic impact on value
- ☐ Verify security deposit amounts on hand match lease schedules

Section 2 - Lease Document Review

- ☐ Confirm fully executed copy of every lease, amendment, and exhibit is available
- ☐ Identify all amendments and riders and verify they are reflected in the rent roll
- ☐ Check for any lease guaranties and confirm current validity of each guarantor
- ☐ Verify no unexercised options that could encumber future ownership
- ☐ Confirm lease is binding on successors and assigns (standard assignment clause)
- ☐ Review any side letter or comfort letter that modifies economic terms

Section 3 - Tenant Financial Status

- ☐ Assess payment history for last 24 months for each tenant
- ☐ Identify any tenants in arrears or with recurring late payment patterns
- ☐ Review any prior default notices or cure letters on file
- ☐ Assess tenant credit quality: public company financials, Dun & Bradstreet, etc.
- ☐ Identify any tenants in active bankruptcy or reorganization proceedings
- ☐ Flag any tenants on month-to-month holdover and assess rollover risk

Section 4 - Options & Encumbrances

- ☐ Inventory all unexercised renewal options and their notice deadlines
- ☐ Identify all ROFOs and ROFRs that could affect future sale or lease
- ☐ Confirm no outstanding expansion options that could reduce vacant space
- ☐ Review all co-tenancy clauses and assess whether current anchor status is stable
- ☐ Identify any ground lease or master lease structure affecting title

Section 5 - Operating Expense Obligations

- ☐ Quantify outstanding TI allowances and landlord work obligations
- ☐ Calculate total remaining free rent obligations across all tenants
- ☐ Assess deferred maintenance and landlord repair obligations per lease
- ☐ Review CAM reconciliation status: any open disputes or unpaid amounts
- ☐ Confirm all estoppel certificates are current (dated within 30 days of close)

Section 6 - Insurance & Legal Compliance

- ☐ Verify all tenants carry required insurance and landlord is named additional insured
- ☐ Confirm landlord's property and liability insurance is in force through close
- ☐ Review any pending litigation involving the property or any tenant
- ☐ Check zoning compliance for all tenant uses
- ☐ Confirm certificate of occupancy is in place for all occupied spaces

Section 7 - Rollover & Leasing Risk

- ☐ Identify all leases expiring within 12, 24, and 36 months
- ☐ Calculate percentage of total GLA at risk of rollover in each period
- ☐ Assess market absorption and achievable renewal/replacement rents
- ☐ Review any exclusive use restrictions that limit re-leasing flexibility
- ☐ Estimate leasing cost exposure: TI, free rent, broker commissions per square foot

Section 8 - Rent Roll Tie-Out Procedure

- ☐ Tie every occupied suite on the rent roll to an executed lease, amendment, commencement agreement, or estoppel
- ☐ Recalculate current monthly rent from the lease schedule and compare it to seller's rent roll
- ☐ Verify expense recoveries separately from base rent so NNN and gross leases are not blended
- ☐ Create a variance log for rent, square footage, lease dates, security deposits, and options
- ☐ Ask seller to explain every variance before inspection period expiration
- ☐ Confirm seller prorations at closing use corrected values, not the original marketing rent roll

Section 9 - Estoppel Cross-Check

- ☐ Compare estoppel-stated rent, deposit, commencement, expiration, amendments, and defaults against abstracted lease data
- ☐ Flag any tenant exception in the estoppel as a diligence issue until counsel clears it
- ☐ Confirm estoppels are dated close enough to closing to satisfy lender and purchase agreement requirements
- ☐ Treat missing anchor or major-tenant estoppels as a closing condition, not a post-close task

Section 10 - Closing Risk Register

- ☐ List every open lease issue with owner, severity, financial impact, and required closing action
- ☐ Quantify landlord obligations that survive closing: TI allowances, free rent, repairs, signage, and exclusive-use enforcement
- ☐ Separate purchase-price issues from post-close asset-management issues
- ☐ Identify which issues require seller credit, escrow, representation, indemnity, or closing condition
- ☐ Confirm all lease files, notices, guarantees, certificates, and correspondence are included in final data-room export

Section 11 - Investment Committee Summary

- ☐ Summarize lease-driven upside: mark-to-market rent, expiring below-market leases, recoverable CAM, and expansion demand
- ☐ Summarize downside: rollover concentration, weak guaranties, unfunded obligations, co-tenancy exposure, and option deadlines
- ☐ Provide a corrected rent roll and explain every material difference from seller's initial rent roll
- ☐ Attach the risk register and flag unresolved items that must be tracked on day one after closing

Section 12 - Day-One Asset Management Handoff

- ☐ Transfer corrected abstracts, rent roll, estoppels, guarantees, and notice addresses into the asset management system
- ☐ Calendar all option deadlines, CAM reconciliation windows, TI obligations, and insurance certificate renewal dates
- ☐ Assign an owner for every open seller obligation, tenant dispute, and unresolved lease-document gap
- ☐ Send tenant welcome letters only after verifying legal notice addresses and payment instructions
- ☐ Reconcile security deposits received at closing to the lease file and tenant ledger
- ☐ Create a 30/60/90 day follow-up plan for expiring leases, open estoppels, and missing insurance certificates

Section 13 - Diligence Lessons Learned

- ☐ Record recurring seller data-room gaps so the next acquisition request list is sharper
- ☐ Track which lease fields required attorney review and which could be standardized in future abstracts
- ☐ Compare diligence findings against underwriting assumptions after close and update acquisition templates
- ☐ Archive the corrected source-of-truth rent roll separately from seller's original marketing rent roll

Appendix - Final Diligence Deliverables

- ☐ Corrected rent roll with source references for rent, square footage, lease dates, recovery structure, deposits, and options
- ☐ Lease exception report listing every missing document, tenant default, estoppel exception, open obligation, and pricing issue
- ☐ Critical dates calendar covering option notices, expirations, rent escalations, audit windows, TI deadlines, and insurance renewals
- ☐ Closing credit schedule for unfunded TI, free rent, tenant disputes, deposits, and seller-prorated obligations
- ☐ Post-close action plan with owner, due date, and resolution status for every open lease issue
- ☐ Investment committee memo appendix summarizing lease-driven value impact by tenant and risk category

Evidence Standard

- ☐ No material diligence conclusion should rely only on seller summary data when the lease document is available
- ☐ Every material rent roll correction should cite the lease, amendment, estoppel, or tenant ledger that supports it
- ☐ All unresolved exceptions should be expressly accepted, credited, escrowed, or made a closing condition

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-  Upload each lease PDF - Lextract extracts all critical due diligence fields automatically
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